

oral (express) contract, breach of implied contract, breach of fiduciary duty, quantum meruit, and unjust enrichment. Most of the theories of relief are ones which *Marvin* and subsequent "palimony" decisions have found can be viable depending upon the facts alleged and ultimately proven. (See *Marvin v. Marvin, supra*, 18 Cal.3d at 674-675 [property agreements between cohabitants], and 684-685 [breach of oral or implied promise, quantum meruit]; *Whorton v. Dillingham, supra*, 202 Cal.App.3d at 453-455 [independent consideration of services for agreement to provide support separate from any sexual services, if proven, could support contract claim by cohabitant]; *Maglica v. Maglica* (1998) 66 Cal.App.4th 442, 447-452 [breach of fiduciary duty and quantum meruit].)

The Court makes no determination on this OSC whether the proposed first amended complaint allege sufficient facts to state all of the causes of action pled, but the Court finds the proposed first amended complaint is sufficient to show that if given leave to amend, Plaintiff may be able to state sufficient facts to support one or more causes of action based on the more extensive allegations of the proposed amended complaint. The Court therefore **grants** the judgment on the pleadings as to the pending complaint, **with leave to amend**.

23. 9:00 AM CASE NUMBER: MSC22-00329

CASE NAME: MARTINEZ VS LIMON LOCUST

***HEARING ON MOTION IN RE: FINAL APPROVAL HEARING SET BY THE COURT**

FILED BY:

TENTATIVE RULING:

Plaintiff Maria Vejar Martinez moves for final approval of her class action and PAGA settlement with defendant Limon Locust LLC.

A. Background and Settlement Terms

Defendant operates a restaurant in Walnut Creek. Plaintiff was employed there, though her dates of employment and job description are not given.

The original complaint was filed on February 10, 2022, as a class action. PAGA claims were added by later amendment.

As initially proposed, the settlement created a gross settlement fund of \$140,000. The class representative payment to the plaintiff would be \$10,000. Attorney's fees would be \$46,667 (one-third of the settlement). Litigation costs would not exceed \$12,000. The settlement administrator's costs are estimated at \$10,000. PAGA penalties would be \$20,000, resulting in a payment of \$15,000 to the LWDA. The net amount paid directly to the class members would be about \$46,333, not including distribution of PAGA penalties. The fund is non-reversionary. There are an estimated 270 class members. Based on the estimated class size, the average net payment for each class member is approximately \$172. The individual payments will vary considerably, however, because of the allocation formula prorating payments according to the number of weeks worked during the relevant time. The number of aggrieved employees for PAGA purposes is smaller, because the starting date of the relevant period is later.

The entire settlement amount will be deposited with the settlement administrator within 7 days after the effective date of the settlement.

The proposed settlement would certify a class of all current and former non-exempt employees employed at Defendants' California facilities between February 18, 2018, and now. For PAGA purposes, the period covered by the settlement is February 9, 2021 to now.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

A list of class members will be provided to the settlement administrator within 14 days after preliminary approval. The administrator will use skip tracing as necessary. Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Settlement checks not cashed within 180 days will be cancelled, and the funds will be directed to the controller's unclaimed property fund.

The settlement contains release language covering all claims and causes of action, alleged or which could have reasonably been alleged based on the allegations in the operative pleading, including a number of specified claims. Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ("A court cannot release claims that are outside the scope of the allegations of the complaint.") "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Formal discovery was undertaken, resulting in the production of substantial documents. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel also has provided an analysis of the case, and how the settlement compares to the potential value of the case, after allowing for various risks and contingencies. For example, much of plaintiff's allegations centers on possible off-the-clock work, including missed or skipped meal breaks and rest breaks. Defendant, however, pointed out that its formal policies prohibit off-the-clock work, and asserted that it would have had no knowledge of employees beginning work before punching in or continuing after punching out. Further, it argued that it was required to make meal and rest breaks available, but not required to ensure that they be taken, so long as no employer policy prevented or discouraged taking such breaks. The complaint also argues violations of rounding of hours, though defendant contends there was no such rounding and if there had been, it would have been neutral in net effect. It also alleges that there were split shifts and times when employees were required to report but then sent home. Defendant denies the allegations, saying they resulted from volunteering for extra shifts. Furthermore, the fact-intensive character of such claims would have presented a serious obstacle to class certification.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code § 2699(e)(2) (PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.")) Moreover, recent decisions may make it difficult for PAGA plaintiffs to recover statutory penalties, as opposed to actual missed wages. (See, e.g., *Naranjo v. Spectrum Security Services, Inc.* (2024) 15 Cal.5th 1056.)

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

The road from preliminary approval to this hearing has not been smooth. On November 21, 2024, the Court granted preliminary approval of the proposed class action settlement in this matter. The Order

After Hearing was not approved by the Court until March 5, 2024. The hearing on the motion for final approval was set for May 8, 2025. On April 11, 2025, the parties stipulated, and the Court ordered, that the notice schedule be changed and the final approval hearing be continued to June 26, 2025. At that hearing, counsel for plaintiff reported that the terms of the settlement were not being carried out. The Court directed plaintiff's counsel to file a motion to enforce the settlement, and set a Status Conference for July 25, 2025. At that Status Conference, counsel for each side reported that the parties had resolved their issues. The Court then set a motion for final approval for October 30, 2024. The Court continued that hearing to December 4, 2025.

The settlement administrator obtained the class list and workweek data, and found that the escalator clause was triggered, and the gross settlement amount increased by 72.80% or \$101,915.86, creating a new Gross Settlement of \$241,915.86. Class member names totaled 320. Notice packets were mailed on August 5, 2025. 92 notice packages were returned. Follow-up resulted in 32 new addresses, which were mailed to the newly found addresses. 61 notice packages are deemed undeliverable. As of the September 19 deadline, no objections and no requests for exclusion from the class were received.

Based on the amounts reconfigured after the application of the escalator clause, the new Net Settlement amount is \$114,664.46. The attorney's fees are \$80,638.63 (1/3 of the Gross Settlement Amount), litigation costs of \$8,662.78, the representative Service payment of \$10,000, administration expenses of \$6,950, the payment of \$15,000 to the LWDA and the \$5,000 share of the PAGA penalties payable to Aggrieved Employees. Based on the revised figures, the average payment to the 320 class members is \$361.45.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees". (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "The court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "Where the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney Fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award was not be considered at the preliminary approval stage, but only as part of final approval. Moreover, given the application of the escalator clause, the size of the recovery, and thus the amount of the fee (1/3 of the settlement), has substantially increased.

For final approval, counsel have calculated a lodestar fee amount as the Court directed. The lodestar is \$69,862.40, which is based on 122.60 hours at hourly rates ranging from \$473 to \$948. Most of the hours are billed at \$581. This results in an implied multiplier of 1.15. No adjustment is necessary, and the fees in the amount of \$80,638.62 are found reasonable and are approved.

Litigation costs of \$8,662.78 are reasonable and are approved.

Settlement Administration costs of \$6,950 are reasonable and are approved.

The requested representative payment of \$10,000 for the plaintiff is reviewed under the criteria for evaluation of representative payment requests discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-07. Ms. Martinez attests that she worked on the case, although she does not estimate the hours. She entered into a release broader than the class as a whole, but she does not indicate that she had any other claims of value. She also states that being a named plaintiff could make it harder to find employment in the current industry in which she works. All things considered, the Court approves the \$10,000 payment.

D. Discussion and Conclusion

The Court finds that the settlement is fair, reasonable, and adequate. The motion is **granted**.

Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. Five percent of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.